

Title of my project : Transitions Into and Out of Own-Account Work: Evidence from Mexico

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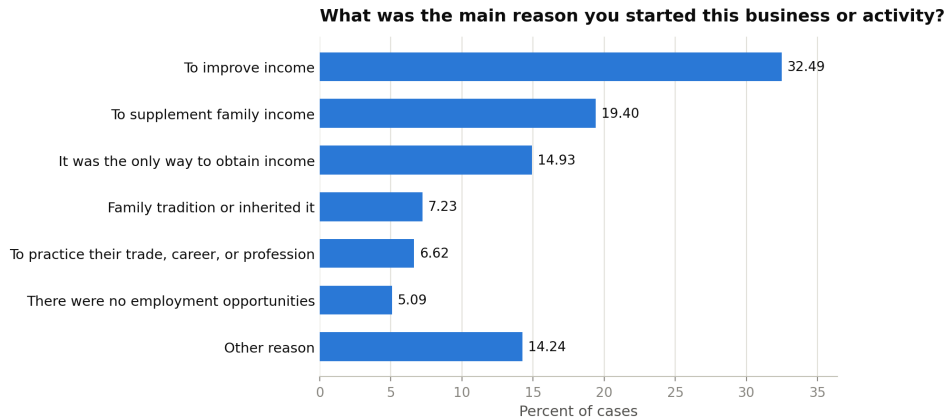
Definition and Motivation

- ▶ Who are the non-professional own-account workers ?
 - Own-account workers are self-employed people who run their own activity but don't hire anyone. (In spanish : Trabajadores Cuenta Propia)
 - Ex. street vendors, drivers, small merchants, construction workers
- ▶ Why own-account workers are relevant ?
 - Quantitatively, in many countries own-account workers are a substantial share of the labor force
 - Vulnerable group with a very specific decision problem

What are the determinants of inflow into and outflows from own-account work ?

- ▶ This paper focuses on testing for the presence of distortions :
 1. Entry into own-account work: To what extent do financial and search frictions drive entry into own-account work ?
 2. Exit from own-account work: Does spell duration matter ? (Duration dependence vs Selection)

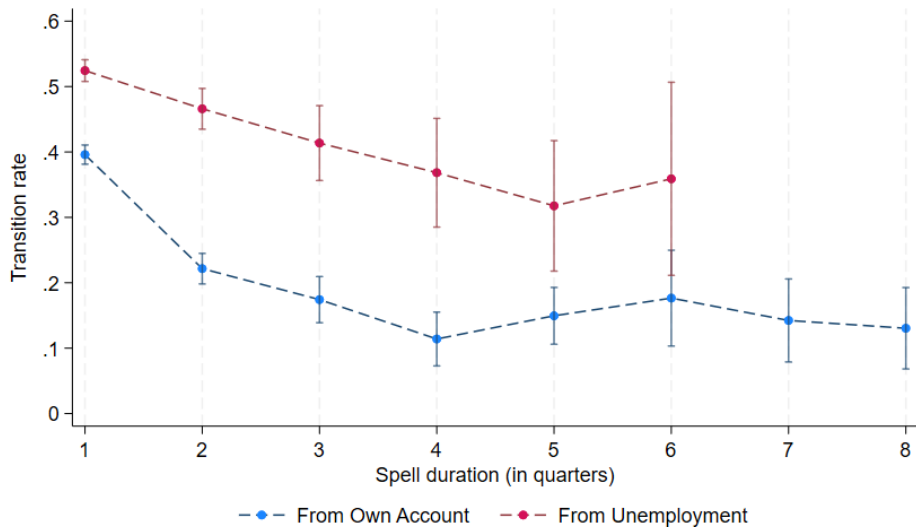
Empirical Facts: Entry into own-account



Note: National Survey of Microenterprises 2012. Author calculations.

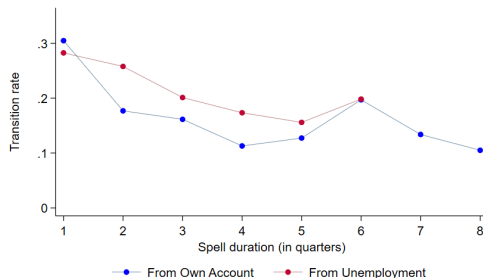
Sample: household heads in urban areas, in the prime age (25 to 55).

Empirical Facts: Transition to salaried jobs

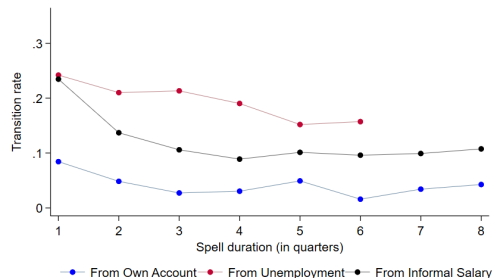


Empirical Facts: Transitions to Salaried Jobs

Panel A. Transition to Informal Salaried Jobs



Panel B. Transition to Formal Salaried Jobs



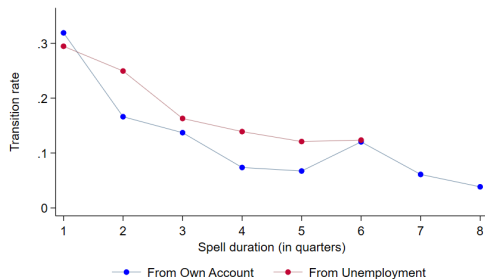
Note. Controls include: age, year, quarter, education, location,

This summer, two challenges to tackle

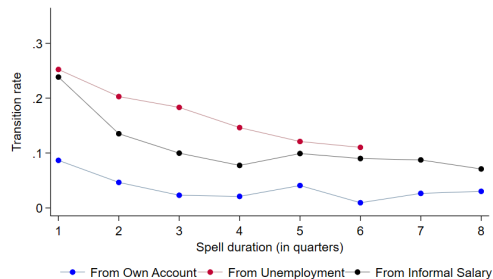
- ▶ Empirical : separate duration-dependent forces from heterogeneity across job seekers
- ▶ Modeling challenges : extend the current search and matching model with a duration-dependent mechanism

Empirical Facts: Transitions to Salaried Jobs (No controls)

Panel A. Transition to Informal Salaried Jobs

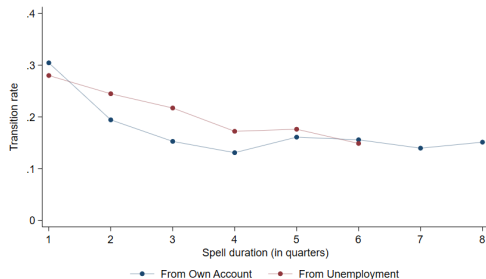


Panel B. Transition to Formal Salaried Jobs

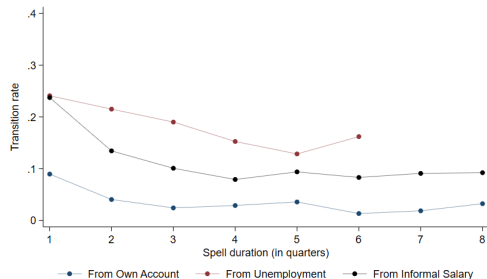


Empirical Facts: Transitions to Salaried Jobs (unweighted)

Panel A. Transition to Informal Salaried Jobs



Panel B. Transition to Formal Salaried Jobs



Note. Controls include: age, year, quarter, education, location